Payment Run and Early Payment Policy

Document	POL-PAY-003
Version	v1.4
Effective from	1 October 2026
Owner	Vikram Nair (financial controller)
Approved by	Finance director
Status	Approved

1. Purpose

This policy decides when Northbridge pays an approved invoice, who must approve a payment, and how an early-payment discount offered by a supplier is judged.

2. Payment runs

2.1 Payment runs

Payment runs are on Fridays; the cut-off for a run is 6 PM on the Thursday before. A payment approved after the cut-off moves to the next Friday run. The run dates are in the Payment Calendar in master data.

2.2 Which run

An invoice is paid in the last Friday run on or before its due date. Paying after the due date breaks the supplier's credit terms and is not allowed without the financial controller's written reason.

3. Approvals

3.1 Early payments

A payment made more than 7 days before its due date is an early payment and needs the financial controller's approval and a reason. No early payment is approved while the invoice is on hold.

3.2 Large payments

Any payment above Rs.50,00,000 needs the financial controller's approval, in addition to accounts payable. The approval is recorded in Ledgerline against the payment proposal on FIN-AP-05.

4. Early-payment discounts

4.1 Is the discount worth it

Paying early is not free: the money paid early could have earned interest or reduced borrowing. An early-payment discount is taken only if its yearly rate, discount / (cash paid early x days early / 365), is higher than Treasury's rate for the same days.

4.2 Treasury's rate

Treasury says where the money would come from: surplus cash is compared with the bank's fixed-deposit rate for that term; money drawn from the cash-credit limit with the cash-credit interest rate. Ask Northbridge asks Treasury by internal e-mail and shows both rates to the financial controller, who decides.

4.3 No reply

If Treasury has not replied before the run's cut-off, the draft says rate not received and makes no recommendation. The financial controller may still decide.

5. Confirmation

5.1 When a payment is paid

A payment is reported as paid only after the bank statement confirms it. A payment the bank returns is reported as returned the same day, and is re-issued only after the bank-account checks in POL-SEC-004.

6. Revision history

Version	Effective from	Change
v1.3	1 April 2026	Friday runs and the large-payment limit
v1.4	1 October 2026	Last run on or before the due date; early payment means more than 7 days early; Treasury's rate